

# Week 9

## Equity Markets I

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**Readings: Burton, M, Nesiba, R., and Brown, B. 2015. An introduction to Financial markets and Institutions. Second Edition. Routledge, Taylor & Francis Group. London & New York**  
**Barnes, P.,. 2010. Stock Market Efficiency, Insider Dealing and Market abuse. Gower Publisher**

- In this lecture we will discuss the following questions:
  - Why companies issue shares
  - Why people invest in stocks
  - How stock markets operate
  - Why bubbles happen
  - Why markets sometimes behave irrationally

- Hence, we will discuss the following:
  - Why we need equity markets
  - Key characteristics of equity markets
  - Why people invest in stocks
  - How stock exchanges and OTC markets work
  - Equity indexes and what they measure

You should think of this lecture as answering one big question:

How does the stock market help the economy and why can it sometimes cause problems?

## Equities (or stocks)

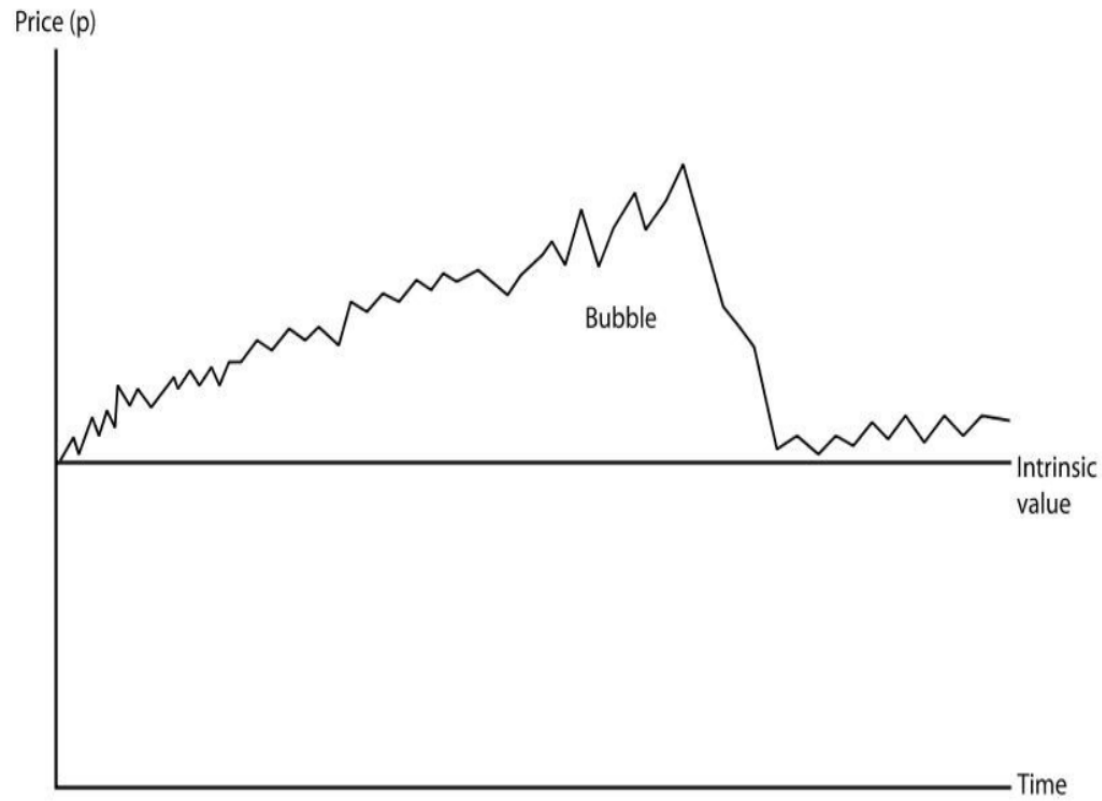
- Represent ownership of a corporation and are the most visible securities on the financial landscape.
- At January 2018, the value of stocks around the world totaled more than \$91.8 trillion ([www.world-exchange.org](http://www.world-exchange.org)).

## 1- Why do we need equity markets?

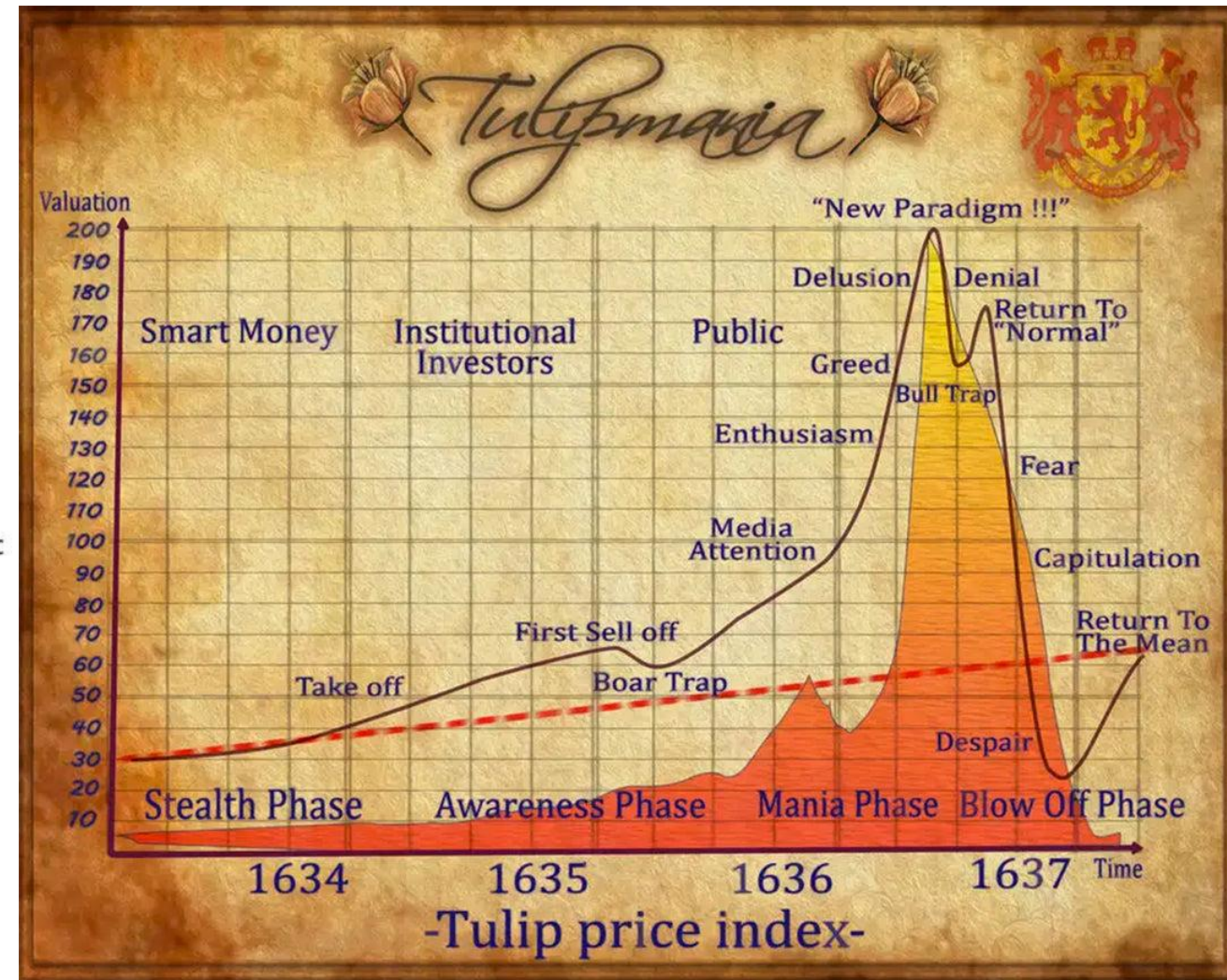
- To raise capital
- Storing protecting and making profitable use of excess capital
- Insuring against risk
- Speculation

## 2- The major characteristics of the equity market

- Whilst Efficient market hypotheses provides a basis for understanding the normal working of the markets. The market as a whole or the price of an individual stock may act unusually or irrationally from time to time.
- A financial 'bubble' or 'speculative bubble' occurs when the market price of a share begins to depart from its intrinsic value.
- Excessive optimism may cause prices to exceed its intrinsic value, pessimism may cause prices to fall below it.
- Early bubbles date back to tulipmania in 1559



A stock market bubble

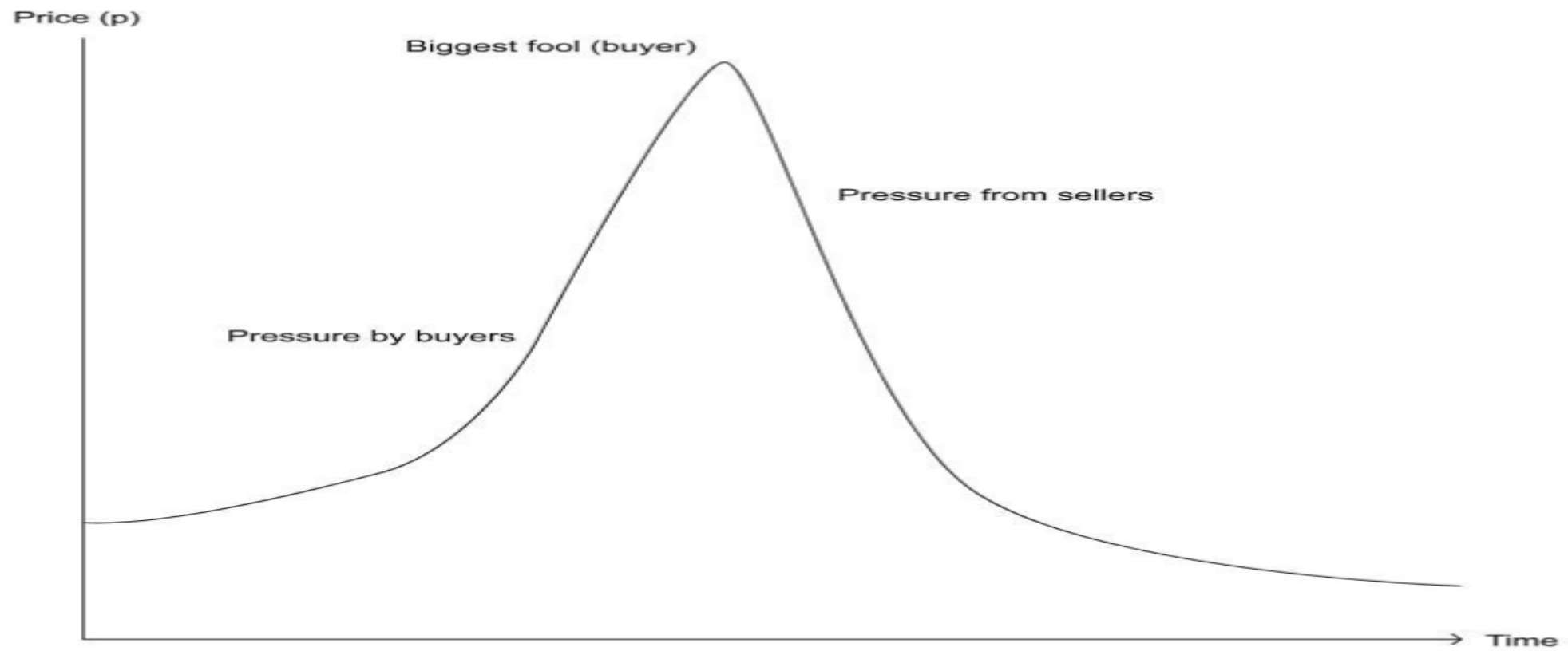


Source: Barnes (2010), p.64



- Keynes's 'biggest fool' theory (1936) argues that investors do not estimate a company's intrinsic value and then compare it with the market price. Instead, he says that investors were more interested in whether other investors thought a share would rise in price. In short, a company's intrinsic value is irrelevant.
- Minsky's Financial Instability Hypothesis (1977, 1982, 1989) attempts to explain the irrationality of extreme boom and bust which may lead Minsky the cycle takes the following form:  
expected returns – euphoria and bandwagon effect recognition that earlier expectations were unjustified. panic sets in (the irrational herding instinct) overall discrediting of the subject of the boom. In the final stage, as losses occur, panic together with revulsion and the overall in the first place.

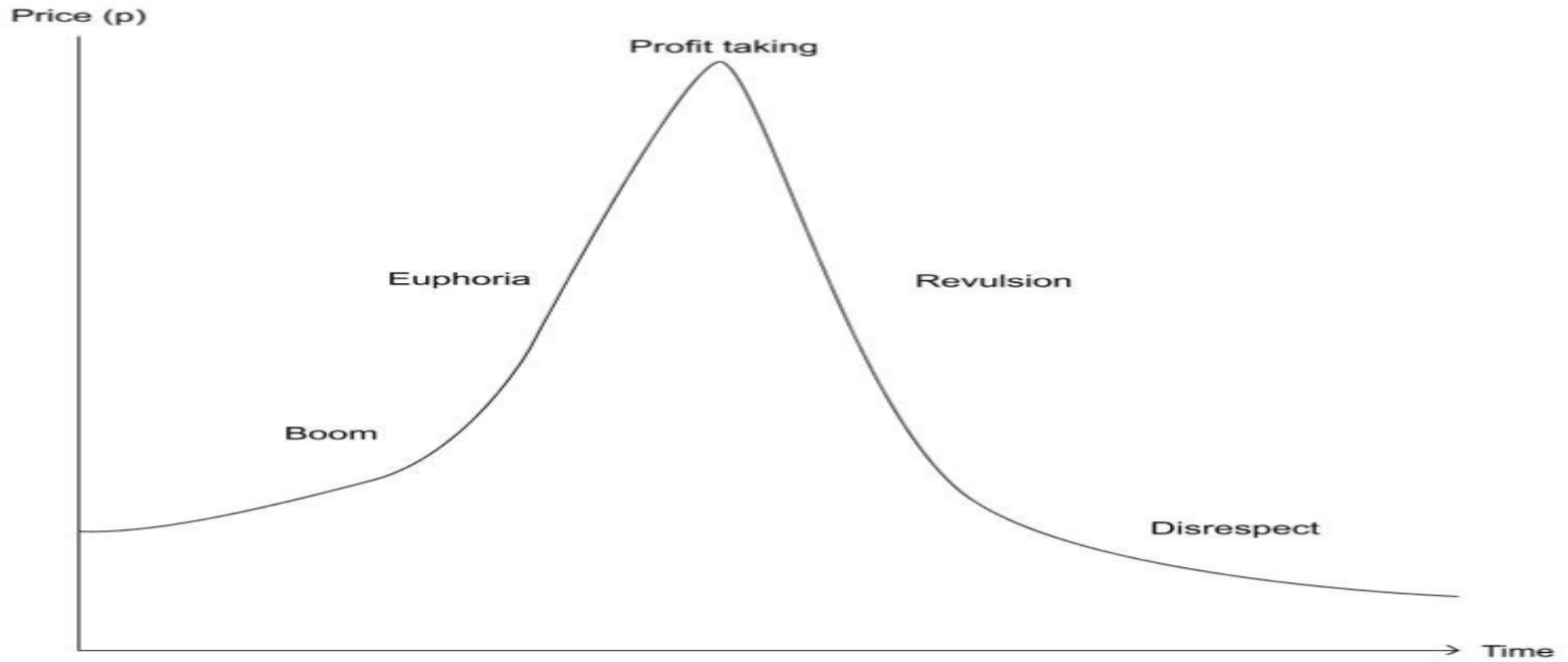




**Keynes' biggest fool theory**

Source: Barnes (2010), p.67

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- The theory, which may apply to any good including stocks and shares, is in the context of an expanding economy. As expansion develops, optimism increases and beliefs about the proper level of debt and risk change. Prices financial assets rise and the general level of speculation increases. Here, 'speculation' refers to attempts by investors to bet on the future direction and psychology of the market (Minsky 1975, pp. 120–123).



**Minsky's financial instability hypothesis**

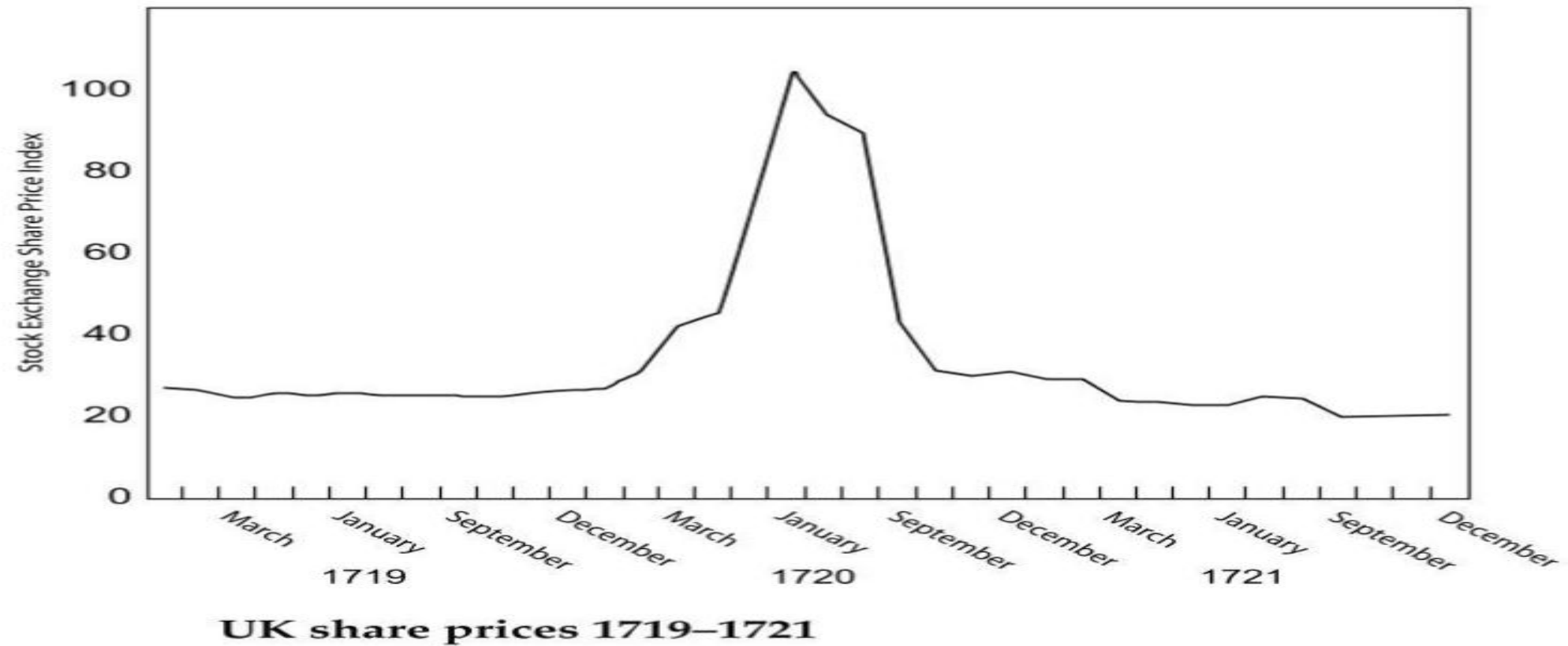
Source: Barnes (2010), p.69

- The term 'irrational exuberance' was used on 5 December 1996 by Alan Greenspan, chairman of the US Federal Reserve Board, to describe the behaviour of investors in the US and the mood behind the rise in stock market prices at that time. It became his most famous quotation. Immediately following his speech, the Nikkei index dropped 3.2 per cent, the Dow Jones Industrial Index dropped 2.3 per cent and the FTSE 100 index fell 4 per cent. Shiller (2005) has argued that reasons for the rise relative to the level of corporate earnings which began in 1982 include the Internet boom, the rise of online trading, the Republican Congress and the proposed capital gains tax cut. Other factors such as the rise of defined contribution pension plans, the growth of mutual funds, the decline in inflation and the expansion of the volume of trade in stocks were clearly associated with events that occurred from 1982 onwards.



Source: Barnes (2010), p.71

# The South Sea Bubble 1711-1720



- Source: Barnes (2010), p.73

## The South Sea Bubble 1711-1720

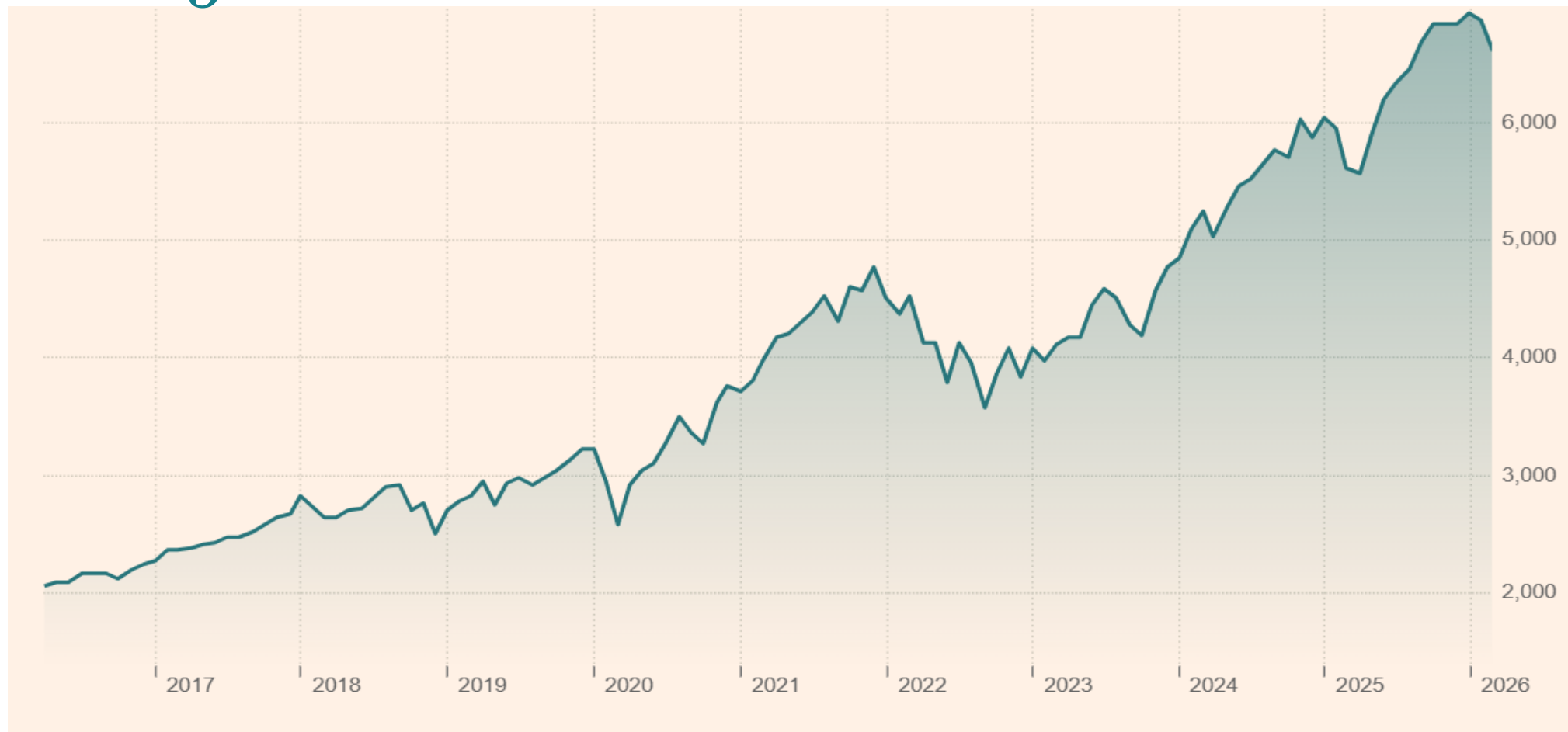
- South Sea Company spread to others and the stock market crashed. By the end of September, thousands of individuals were ruined, including many members of the aristocracy. Jonathan Swift and Sir Isaac Newton were just two of those who lost large amounts. Newton remarked 'I can calculate the movement of the stars, but not the madness of men' after losing £20 000 in the bubble, equivalent to over £2 million today. With investors outraged, Parliament was recalled in December and an investigation began. Reporting in 1721, it revealed widespread fraud amongst the company directors.



### 3- Why do people invest in the stock market?

- Dimson, Marsh and Staunton ( 2002 ), 'Triumph of the Optimists' examine 101 years of global investment returns.
- Equity risk premium is defined as the return on the stock market in excess of the risk-free rate.
- Risk cannot be described in the abstract, but depends on decision maker's preferences, wealth position and some environmental circumstances as well

# S&P 500



- Source: Financial Times

## 4- How the organised exchanges and over-the-counter markets function

- An initial public offering (IPO) is when a corporation issues stock publicly for the first time.
- To bring new shares to the market, a corporation must register with the SEC in the US or LSE in the UK.
- A secondary stock offering is an offering of newly issued shares by a firm that already has publicly held shares

# The Secondary Market for Equity Securities

- Subsequent trading in securities after primary issue.
- Stock may trade on:
  - Exchanges.
  - Over the counter.
- Provides investor liquidity.

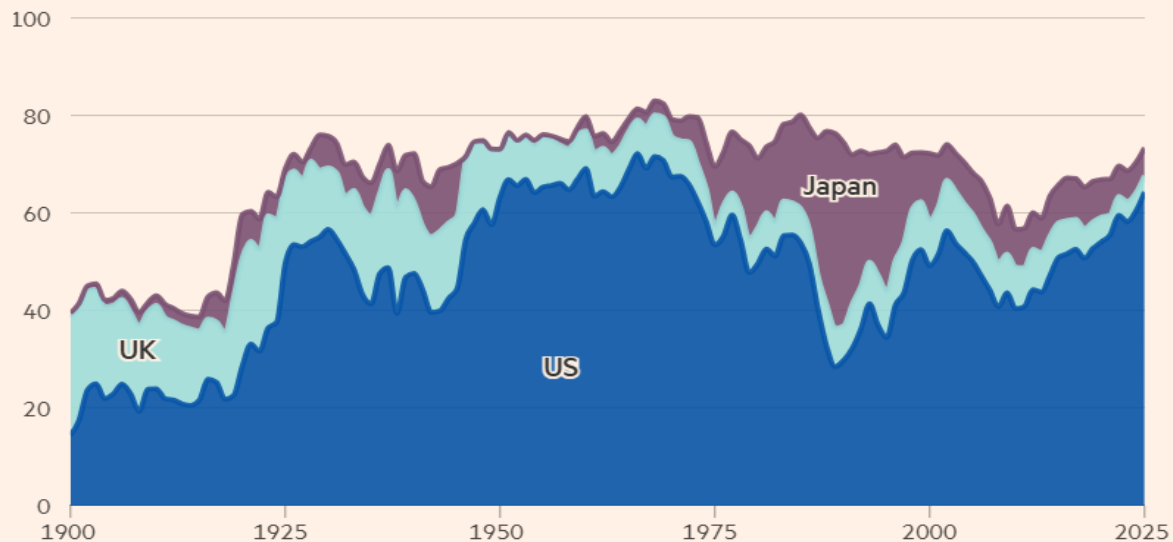
# The Stock Markets

- In recent years, the volume and values of stocks traded have increased dramatically
- Large institutional investors have come to dominate the market
  - pension funds
  - insurance companies
  - mutual funds
- All else equal, ownership of stocks entails more risk than ownership of bonds or other financial assets
  - even though there is a higher expected return with stock ownership, there is no guarantee that the expected return will be realized

- Market makers will buy a company's shares at one price (the bid price) and sell them for a higher price (the offer price).
- Market makers earn their profit from the bid-offer spread, the difference between the bid and offer price.
- The prices of individual company shares bought and sold on the stock market are determined by supply and demand.

The US has been the world's largest stock market for much of the last century

Share of global free-float market capitalisation (%)



Source: Elroy Dimson, Paul Marsh, Mike Staunton, London Business School, UBS Global Investment Returns Yearbook '24

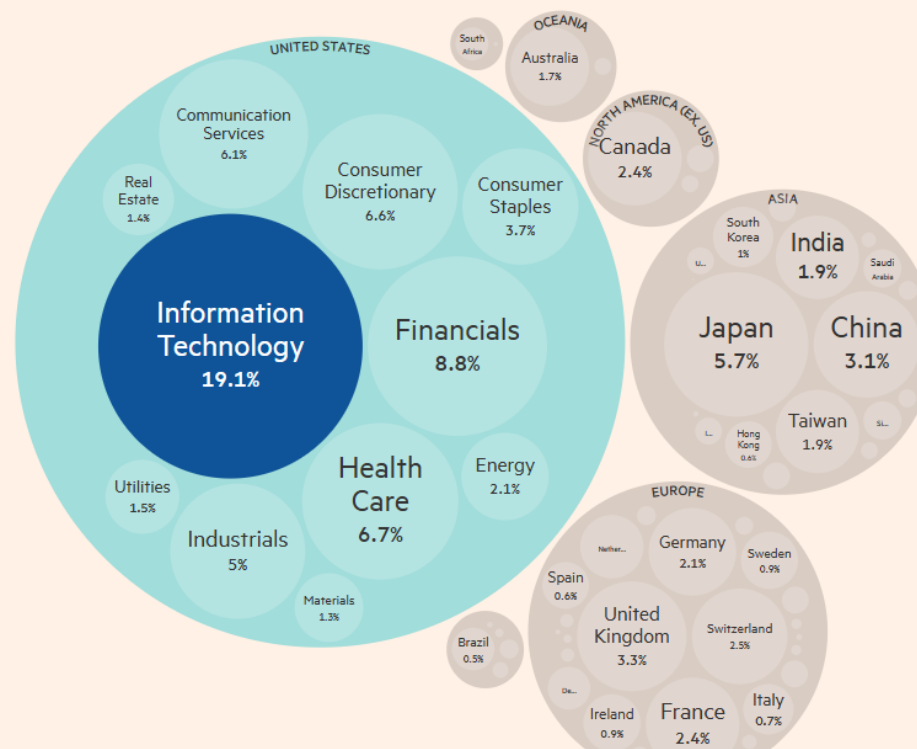
The Magnificent Seven group of giant technology stocks — Apple, Alphabet, Amazon, Meta, Microsoft, Nvidia and Tesla — hold almost a third of the S&P 500's \$51.8tn market value, while the index's cyclically adjusted price-to-earnings ratio, a measure of valuation, is approaching its highest level since the early 2000s.

[Source: FT, March 3th 2025. How big is the stock market's America bubble?](#)

Tech companies listed in the US dominate global stock markets

Share of FTSE All World index (%) Hover/click for details

Compare: 2025 2010



## Valuations have climbed alongside concentration in the S&P 500

Tech stocks as a share of the S&P 500 (%)



FINANCIAL TIMES

Cyclically-adjusted price-earnings multiple (CAPE)



Source: Bloomberg, Schroders, Robert Schiller

Bullish investors argue that Big Tech's strong earnings growth and AI's potential to spur productivity justify the lofty valuations of many of the world's largest companies. Bearish commentators, meanwhile, draw comparisons between today's market and the dotcom bubble that burst at the beginning of the millennium.

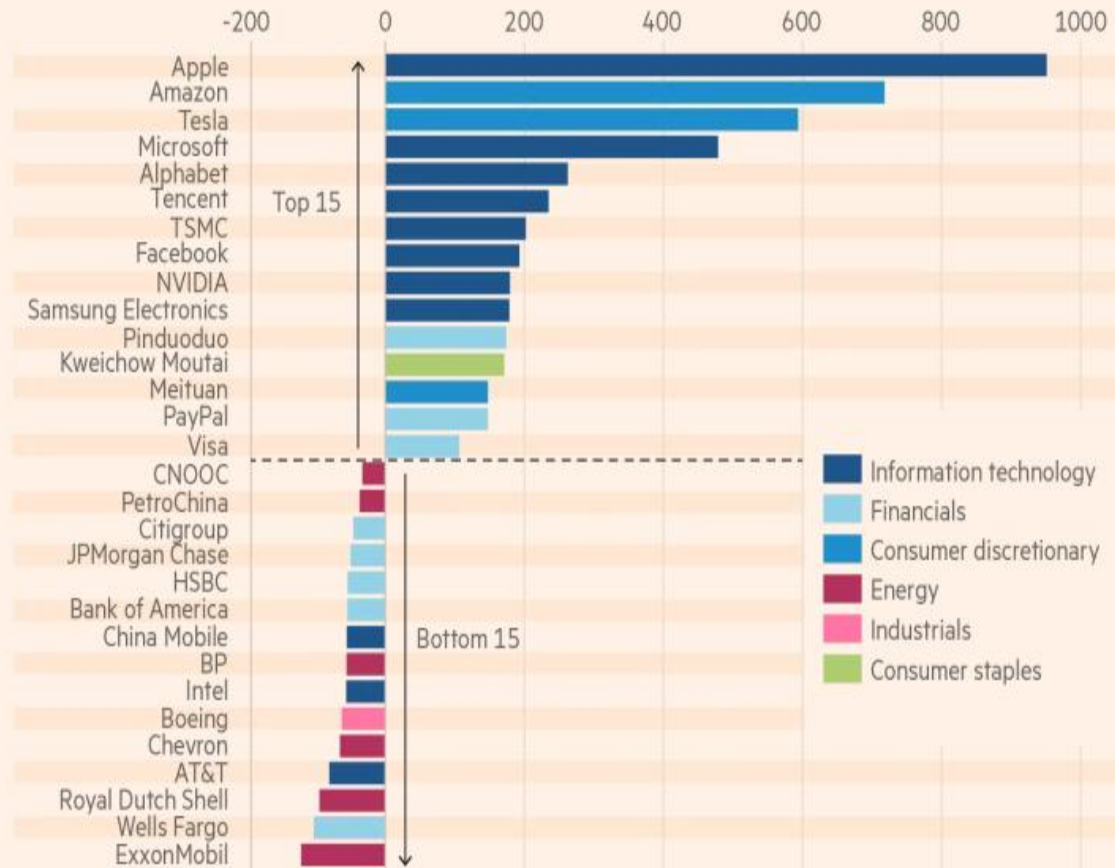
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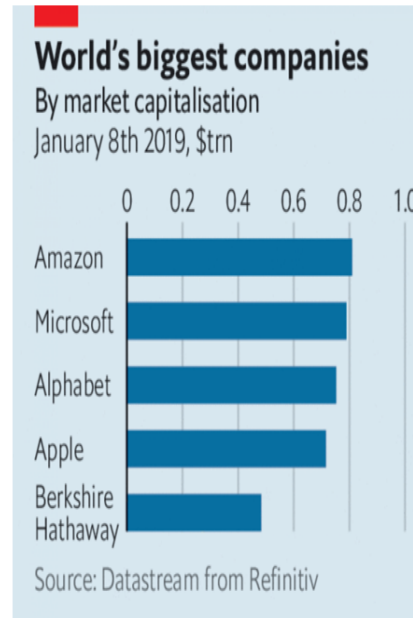
- In general, the more profitable a company, and the better its future prospects, the greater will be the demand for its shares relative to the supply.
- Thus, a company's share price will vary over time, according to its current performance and investors' perceptions about its future performance.
- A company's stock market capitalisation is its share price multiplied by the number of equities in issue.
- <http://www.londonstockexchange.com/exchange/prices-and-markets/stocks/indices/summary/summary-indices.html?index=UKX>
- <https://markets.ft.com/data/world/countries/united-kingdom>

## Pandemic winners and losers

By market cap added (\$bn)



Based on 7730 companies  
Source: Capital IQ  
© FT



The Economist

**Amazon** became the world's most valuable publicly listed company when its market capitalisation at the close of trading ended up above Microsoft's. Microsoft had only just regained the crown from Apple, which has seen its share price tumble over worries about its growth prospects. Amazon is now

worth around \$800bn, much less than the \$1trn valuation it hit (along with Apple) in the middle of last year.

Source:

<https://www.economist.com/the-world-this-week/2019/01/12/business-this-week>

UK borrowing costs near their highest level since 2008

Ten-year gilt yield (%)



European indices plunge to their lowest level since the start of the conflict

Indices rebased in € terms

Stoxx Europe 600 Dax FTSE 100



## In summary

- a speculative bubble is an irrational increase in prices accompanied by euphoric expectations
  - To be a bubble, the increase in asset prices can not be the result of a change in fundamentals, but rather psychology or herd mentality
    - when participants realize the bubble cannot be maintained, they liquidate their positions causing prices to fall lower than they would have been without the bubble